

**What is organisational change?****Meaning:**

“The term change refers to any alternation which occurs in the overall work environment of an organisation.” To quote another definition “when an organisational system is disturbed by some internal or external force, change occurs frequently. Change, as a process, is simply modification of the structure or process of a system. It may be good or bad”

**Nature of change:**

- Change results from the pressure of both internal and external forces in the organisation. It disturbs the existing equilibrium or status quo in the organisation.
- The change in any part of the organisation affects the whole of the organisation.
- Change will affect the various parts of the organisation in varying rates of speed and degrees of significance. Changes may affect people, structure, technology and other elements of the organisation.
- Change may be reactive or proactive. When change is brought about due to the pressure of external forces, it is called reactive change. Proactive change is initiated by the management on its own to increase organisational effectiveness.

**Levels of change:**

The various types of change programmes may be classified into individual level change, group level change and organisational level change.

**Individual Level Change**

Individual level changes may take place due to changes in job-assignment, transfer of an employee to a different location or the changes in the maturity level of a person which occurs over a passage of time. The general opinion is that change at the individual level will not have significant implications for the organisation. But this is not correct because individual level changes will have impact on the group which in turn will influence the whole organisation. Therefore, a manager should never treat the employees in isolation but he must understand that the individual level change will have repercussions the individual.

**Group Level Change**

Management must consider group factors while implementing, any change, because most of the organisational changes have their major effects at the group level. The groups in the organisation can be formal groups or informal groups. Formal groups can always resist change, for example; the trade unions can very strongly resist the changes proposed by the management. Informal groups can pose a major barrier to change because of the inherent strength they contain. Changes at the group level can affect the work flows, job design, social organisation, influence and status systems and communication patterns.

**Organisational Level Change**

The organisational level change involves major programmes which affect both the individuals and the groups. Decisions regarding such changes are made by the senior management. These changes occur over long periods of time and

require considerable planning for implementation. A few different types or organisation level changes are:

1. Strategic Change: Strategic change is the change in the very basic objectives or missions of the organisation. A single objective may have to be changed to multiple objectives. Example: A lot of Indian companies are being modified to accommodate various aspect of global culture brought in by the multinational or transnational corporations.
2. Structural Change: Organisational structure is the pattern of relationships among various positions and among various position holders. Structural change involves changing the internal structure of the organisation. This change may be in the whole set of relationships, work assignment and authority structure. Change in organisation structure is required because old relationships and interactions no longer remain valid and useful in the changed circumstances.
3. Process Oriented Change: These changes relate to the recent technological developments, information processing and automation. This will involve replacing or retraining personnel, heavy capital equipment investment and operational changes. All this will affect the organisational culture and as a result the behavior pattern of the individuals.
4. People Oriented Change: People oriented changes are directed towards performance improvement, group cohesion, dedication and loyalty to the organisation as well as developing a sense of self-actualization among members. This can be made possible by closer interaction with employees and by special behavioral training and modification sessions. To conclude, we can say that changes at any level affect the other levels. The strength of the effect will depend on the level or source of change.

**Change cycle:**

The first step in the change process is to identify the need for change and the area of change as to whether it is strategic change, process-oriented change or employee oriented change. This need for change can be identified either through internal factors or through external forces that may be in place. Once this need is identified, the following steps can be taken to implement such change:

1. Develop new goals and objectives

The managers must identify as to what new outcomes they wish to achieve. This may be a modification of previous goals due to changed internal and external environmental or it may be a new set of goals and objectives.

2. Select an agent for change

The management must decide as to who will initiate and oversee this change. A manager may be assigned this duty or even outside specialists and consultants can be brought in to suggest the various methods to bring in the change and monitor the change process.

3. Diagnose the problem

It is important to gather all pertinent data regarding the area or the problem where the change is needed. This data should be critically analysed to pinpoint the key issues. Then the solutions can be focused on those key issues.

4. Select methodology

Because of natural resistance to change, it is very important to chart out a methodology for change which would be correct and acceptable to all. Member's emotions must be taken into consideration when devising such methodology.

5. Develop a plan

This step involves putting together a plan as to what is to be done. For example, if the company wants to develop and implement a flexitime policy, it must decide as to what type of workers will be affected by it or whether flexitime should be given to all members or only to some designated workers.

#### 6. Strategy for implementation of the plan

In this stage, the management must decide on the “when”, “where” and “how” of the plan. This includes the right timing of putting the plan to work, how the plan will be communicated to workers in order to have the least resistance and how the implementation will be monitored.

#### 7. Implementation of the plan

Once the right timing and right channels of communications have been established, the plan is put into action. It may be in the form of simple announcement or it may require briefing sessions or in-house seminars so as to gain acceptance of all the members and specially those who are going to be directly affected by the change.

#### 8. Receive and evaluate feedback

Evaluation consists of comparing actual results to the set goals. Feedback will confirm if these goals are being met so that if there is any deviation between the goals and the actual performance outcomes, then corrective measures can be taken.

#### **Types of change:**

There are various areas within the organisational domain where changes can be brought about for operational enhancement of the organisation as well as

desirable behaviour of members. The various types of changes that can have considerable impact on the organisational culture are:

a) Strategic Change

This is a change in the very mission of the organisation. A single mission may have to be changed to multiple missions. For example, when British Airways acquired a major part of U.S. Air, the culture of the entire organization had to be modified to accommodate various aspects of American organisational culture into the British organisational culture.

b) Structural Change

Decentralized operations and participative management style have seen more recent trends in the organisational structure. Since these structural changes shift the authority and responsibility to generally lower level management, it has a major impact on an organisation's social climate and members have to be prepared to develop a team spirit as well as acquire skills to make on-the-spot decisions at points of operations.

c) Process-oriented Change

These changes relate to technological developments, information processing, automation and use of robotics in the manufacturing operations. This means replacing or retraining personnel, heavy capital equipment investment and operational changes. This would affect the organisational culture and hence changes in the behaviour patterns of members.

d) People-oriented Change

Even though, any organisational change affects people in some form, it is important that the behaviour and attitudes of the members be predictable and in

accordance with the expectations of the organization and be consistent with the mission and policies of the enterprise. These changes are directed towards performance improvement, group cohesion, dedication and loyalty to the organization as well as developing a sense of self-actualisation among the members. These can be developed by closer interaction with employees and by special behavioural training and modification sessions.

### **Forces for change**

Organisations encounter many different forces for change. These forces come from external sources outside the organisation and from internal sources. Awareness of these forces can help managers determine when they should consider implementing an organisational change. The external and internal forces for change are as follows:

#### **External Forces**

External environment affects the organisations both directly and indirectly. The organisations do not have any control over the variables in such an environment. Accordingly, the organisation cannot change the environment but must change themselves to align with the environment. A few of these factors are:

1. Technology: Technology is the major external force which calls for change.

The adoption of new technology such as computers, telecommunication systems and flexible manufacturing operations has profound impact on the organisations that adopt them. The substitution of computer control for direct supervision is resulting in wider spans of control for managers and flatter organisations. Sophisticated information technology is also making

organisations more responsive: Both the organisations and their employees will have to become more adaptable. Many jobs will be reshaped. Individuals, who do routine, specialized and narrow jobs will be replaced by workers who can perform multiple in decision-making. Managements will have to increase their investment in training and education of the employees because employees' skills are becoming obsolete more quickly Japanese firms have progressed rapidly because they are very fast in adopting new technological innovations.

Both manufacturing and service organisations are increasingly using technology as a means to improve productivity and market competitiveness. Manufacturing companies, for instance, have automated their operations with robotics, computerized numerical control (CNC) which is used for metal cutting operations, and computer-aided design (CAD). CAD is a computerized process of drafting and designing engineering drawings of products. Companies have just begun to work on computer-integrated manufacturing (CIM). This highly technical process attempts to integrate product design with product planning, control, and operations. Office automation consists of a host of computerized technologies that are used to obtain, store, analyse, retrieve, and communicate information.

2. Marketing Conditions: Marketing conditions are no more static. They are in the process of rapid change as the needs, desires and expectations of the customers change rapidly and frequently. Moreover, there is tough competition in the market as the market is flooded with new products and innovations everyday new methods of advertising are used to influence the customers. Today the concept of consumerism has gained considerable importance and thus, the consumers be treated as the kings. Moreover, the competition today has some significant new twists; most markets will soon

be international because of decreasing transportation and communication costs and the increasing export orientation of business. The global economy will make sure that competitors are likely to come across the ocean as well as from across town. Successful organisations will be those who can change in response to the competition. Organisations that are not ready for these new sources of competition in the next decade may not exist for long.

3. Social Changes: Social and cultural environment also suggest some changes that the organisations have to adjust for. There are a lot of social changes due to spread of education, knowledge and a lot of government efforts. Social quality, e.g. equal opportunities to women, equal pay for equal work, has posed new challenges for the management. The management has to follow certain social norms in shaping its employment, marketing and other policies.
4. Political Forces: Political environment within and outside the country have an important impact on business especially the transnational corporations. The interference of the government in business has increased tremendously in most of the countries. The corporate sector is regulated by a lot of laws and regulations. The organisations do not have any control over the political and legal forces, but they have to adapt to meet the pressure of these forces. In our country, the new economic policy has liberalized the economy to a large extent. Many of the regulatory laws have been amended to reduce the interference of the Government in business. An organisation is also affected by the world politics. Some of the changes in the world politics which have affected business all over the world are e.g. the reunification of Germany, Iraq's invasion of Kuwait and the break of Soviet Union.

### **Internal Forces**

Internal forces are too many and it is very difficult to list them comprehensively. However, major internal causes are explained as follows:

1. Nature of the Workforce: The nature of workforce has changed over a passage of time. Different work values have been expressed by different generations. Workers who are in the age group of 50 plus value loyalty to their employers. Workers in their mid thirties to mid forties are loyal to themselves only. The youngest generation of workers is loyal to their careers. The profile of the workforce is also changing fast. The new generation of workers has better educational qualifications; they place greater emphasis on human values and question authority of managers. Then behavior has also become very complex and leading them towards organisational goals is a challenge for the managers. The employee turnover is also very high which again puts strain on the management. The workforce is changing, with a rapid increase, in the percentage of women employees, which in turn means, more dual career couples.
2. Change in Managerial Personnel: Change in managerial personnel is another force which brings about change in organisation. Old managers are replaced by new managers which are necessitated because of promotion, retirement, transfer or dismissal. Each manager brings his own ideas and way of working in the organisation. The informal relationships change because of changes in managerial personnel. Sometimes, even though there is no change in personnel, but their attitudes change. As a result, the organisation has to change in accordingly. Changes in the organisation are more fast when top executives change. Change in top executives will lead to important changes in the organisation in terms of organisation design, allocation of work to individuals, delegation of authority, installation of controls, etc. All these

changes will be necessitated because every top executive will have his own style and he will like to use his own ideas and philosophies.

3. Deficiencies in Existing Management Structure: Sometimes changes are necessary because of some deficiencies in the existing organisational structure, arrangement and processes. These deficiencies may be in the form of unmanageable span of management, larger number of managerial levels, lack of coordination among various departments, obstacles in communication, multiplicity of committees, lack of uniformity in policy decisions, lack of cooperation between line and staff and so on. However, the need for change in cases goes unrecognized until some major crisis occurs.
4. To Avoid Developing Inertia: In many cases, organisational changes take place just to avoid developing inertia or inflexibility. Conscious managers take into account this view that organisation should be dynamic because any single method is not the best tool of management every time. Thus, changes are incorporated so that the personnel develop liking for change and there is no necessary resistance when major changes in the organisation are brought about.
5. Human Resource Problems/Prospects: These problems stem from employee perceptions about how they are treated at work and the match between individual and organisation needs and desires. Dissatisfaction is a symptom of an underlying employee problem that should be addressed. Unusual or high levels of absenteeism and turnover also represent forces for change. Organisations might respond to these problems by using the various approaches to job design by implementing realistic job previews, by reducing employees role conflict, overload, and ambiguity, and by removing

the different stresses. Prospects for positive change stem from employee participation and suggestions.

6. Managerial Behaviour/Decisions: Excessive interpersonal conflict between managers and their subordinates is a sign that change is needed. Both the manager and the employee may need interpersonal skills training, or the two may simply need to be separated: for example, one of the parties might be transferred to a new department. Inappropriate leadership behaviours, such as inadequate direction or support, may result in human resource problems requiring change. Leadership training is one potential solution for this problem.

### **Change Agents**

Meaning of Change Agent: Though change is a continuous process involving managers at all levels, who should initiate change and how has to be deliberately decided in planned change. Planned change can be introduced through change agents. Change agent is the person who initiates change in the organisation to increase organisational effectiveness.

Planned change may be change in people, structure or technology. Any resistance in introducing change is overcome by the change agent who motivates the employees to accept the change. Internal management takes help of external consultants in introducing planned change.

Change agents can, thus, be:

1. External Change Agents and
2. Internal Change Agents.

1. External change agents:

They are generally the behavioural scientists who specialise in human behaviour. They work as consultants for the company and devise its change strategy.

## 2. Internal change agents:

They are continuously involved in the change process. They belong to the organisation only and depending on the need where the change is required, they are selected from different levels and departments. Internal change agents are usually the managers who are trained by the consultants (external change agents) to implement change as an ongoing process.

They introduce change within the broad framework of change strategy devised by the external change agents

They also lead the members to implement the change process. Internal change agents may also be change advisors appointed from specific departments for specific periods. After the change programme is completed, they go to their original departments.

They convince organisational members to accept and implement the change. What they learn from the consultants, they communicate to the managers and promote behavioural skills to smoothen the change process.

Skills required for a change agent:

- Communication skills are essential and must be applied for managing teams.
- Maintaining motivation and providing leadership to all concerned is necessary.

- The ability to facilitate and orchestrate group and individual activities is crucial.
- Negotiation and influencing skills are invaluable.
- It is essential that both planning and control procedures are employed.
- The ability to manage on all planes, upward, downward and within the peer group, must be acquired.
- Knowledge of, and the facility to influence, the rationale for change is essential.

External Change Agents:

1. They take total view of the organization as a system.
2. They are not much affected by norms of the organization.
3. They do not view change as an on-going process as they are appointed by the organization for specific tasks.
4. They use diagnostic skills to diagnose the problem and plan the overall strategy for change.
5. Their role is comprehensive in nature.
6. Their role is primarily that of process consultation, which is, deciding the process of introducing change.

7. They help the organisation move towards self-renewal and growth

Internal Change Agents:

1. They accept the system as given
2. They apply change practices suitable to the needs of the organization within the organisational norms.
3. They view change as an on-going process with minor or major changes in the components of the organization
4. They use problem-solving skills to deal with problems related to change.
5. Their role is secondary to that of external agents.
6. Their role is primarily of implementing the change process. They work as trained by the consultants. Their role is primarily educational as they educate people about the need for accepting and implementing the change.
7. They sustain the organisation to maintain their competitive position.

Though, external and internal change agents have different roles, the difference is only in the perspective. Their focus is the same; to move the organisation to a new state of equilibrium with better competitive advantage.

While external change agents are specialised in their work, internal change agents work under their guidance to deal with people internal to the organisation and implement the change process smoothly with no or minimum resistance.

At the initial stages of change, both internal and external change agents work together to understand the need for change, areas where change can be most

beneficial for the organisation and behavioural problems of people who will be affected by change. Working of internal and external change agents together develops mutual trust, smoothens the process of change and makes it move as an ongoing process.

Change process is effective when external change agent acts as a process consultant and actual implementation is done by the internal change agents. Internal change agent is more conversant with the problems in the organisation and can, therefore, manage the change process better. Various diagnostic and problem-solving skills can, however, be taught by the external change agent.

Role of a Change Agent:

1. He announces the need for change in the organisation. Members usually want to maintain status quo which is resistant to change. Change agents help to overcome this resistance.
2. He diagnoses the present situation in the organisation, foresees changes in the environment and helps the client company in adapting to the changing environment.
3. He helps in smoothly carrying out the change process. People accept change naturally without feeling that they are forced to accept it.
4. He formulates strategies for change. These are known as change interventions or OD (organisation Development) interventions.
5. He trains the internal change agents to implement the change process and introduce it further in the organisation. Change, thus, becomes an on-going process in the light of ever-changing dynamic external environment.

6. He uses behavioural skills to deal with emotional and social problems of employees in accepting and implementing change.

### **Resistance to Change**

Sources of resistance could be at the individual level or at the organizational level. Sometimes the sources can overlap.

#### **Individual Factors**

Individual sources of resistance to change reside in basic human characteristics such as **perceptions, personalities and needs**. There are basically four reasons why individuals resist change.

➤ **Habit:** Human beings are creatures of habit. Life is complex enough; we do not need to consider the full range of options for the hundreds of decisions we have to make every day. To cope with this complexity, we all rely on habits of programmed responses. But when confronted with change, this tendency to respond in our accustomed ways become a source of resistance. So when your **office is moved to a new location**, it means you're likely to have to change **many habits**, taking a new set of streets to work, finding a new parking place, **adjusting to a new office layout, developing a new lunch time routine and so on**. Habit are hard to break. People have a built in tendency to their original behaviour, a tendency to stymies change.

➤ **Security:** People with a high need for security are likely to resist change because it threatens their feeling of safety. They **feel uncertain and insecure about what its outcome will be**. Worker might be given new tasks. Role relationships may be reorganized. Some **workers might lose their jobs**. Some

people might benefit at the expense of others. Worker's resistance to the uncertainty and insecurity surrounding change can cause organizational inertia. Absenteeism and turnover may increase as change takes place and workers may become uncooperative, attempt to delay or slow the change process and otherwise passively resist the change in an attempt to quash it.

➤ **Selective Information Processing:** Individuals shape their world through their perceptions. They selectively process information in order to keep their perceptions intact. **They hear what they want to hear.** They ignore information that challenges the world they have created. Therefore, there is a general tendency for people to selectively perceive information that is consistent with their existing views of their organizations. **Thus, when change takes place workers tend to focus only on how it will affect them on their function or division personally.** If they perceive few benefits they may reject the purpose behind the change. Not surprisingly it can be difficult for an organization to develop a common platform to promote change across the organization and get people to see the need for change in the same way.

➤ **Economic Factors:** Another source of individual resistance is concern that **change will lower one's income.** **Changes in job tasks or established work routines also can arouse economic fears** if people are concerned they won't be able to perform the new tasks or routines to their previous standards, especially when pay is closely tied to productivity. For example, **the introduction of TQM means production workers will have to learn statistical process control techniques, some may fear they'll be unable to do** so. They may, therefore, develop a **negative attitude towards TQM or behave dysfunctional if required to use statistical techniques.**

## Group Level Factors

Much of an organization's work is performed by groups and several group characteristics can produce resistance to change:

➤ Group Inertia: Many groups develop strong informal norms that specify appropriate and inappropriate behaviours and govern the interactions between group members. Often change alters tasks and role relationships in a group; when it does, it disrupts group norms and the informal expectations that group members have of one another. As a result, members of a group may resist change because a whole new set of norms may have to be developed to meet the needs of the new situation.

➤ Structural Inertia: Group cohesiveness, the attractiveness of a group to its members, also affects group performance. Although, some level of cohesiveness promotes group performance, too much cohesiveness may actually reduce performance because it stifles opportunities for the group to change and adapt. A highly cohesive group may resist attempts by management to change what it does or even who is a member of the group. Group members may unite to preserve the status quo and to protect their interests at the expense of other groups.

## Strategies and guidelines to implement change

### (a) Use the Group Forces

The group exercises considerable influence on the behaviour of members. The behaviour, attitudes, beliefs, and values of the individual are all firmly grounded in the groups to which he belongs. How aggressive or co-operative a person is,

how much self respect and self-confidence he has, how energetic and productive his work is, what he aspires to, what he believes to be true and good, when he loves or hates, and what beliefs and prejudices he holds – all these characteristics are highly determined by the individual's group membership. Whether they resist or accept change largely depends on the groups. The change agent must make use of the groups to bring about change.

#### (b) Change of Change Agent

The change agent must himself change. It is only then that he will be able to reinforce a psychological climate of support for change. Unwillingness of the managers to give up traditional managerial practices and their unpreparedness to accept new methods are the most serious barriers to the introduction of change and to make it permanent in organisations.

#### (c) Shares Rewards

Another way to build support for change is to ensure that the people affected derive benefit out of the change. Benefits include increased pay, promotion, training, recognition, and the like.

#### (d) Co-operation of Unions

Taken into confidence, unions themselves can act as change agents, though they are generally considered to be anti-change. Many union leaders are accepting the installation of CNC machines, though it means displacement of the work force. This has been possible because of their participation before, during, and after the change has been introduced. A change introduced without their support may not stay for long.

(e) Concern for Employees

A change should not be introduced for the sake of it. Change needs to be introduced only when necessary and it must be by evolution and not by revolution. Any change must ultimately benefits employees. In the short-run the needs and requirements of employees should not be affected. Any problem that has taken place because of change needs to be looked into and corrected immediately.

TABLE 1.1: METHODS OF DEALING WITH RESISTANCE TO CHANGE

| Approach                      | Commonly used situations                                                                                                                | Advantages                                                                                                                                      | Drawbacks                                                                 |
|-------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------|
| Education+<br>Communication   | Where there is a lack of information or inaccurate information and analysis.                                                            | Once persuaded people will often help with the implementation of the change.                                                                    | Can be very time consuming if lots of people are involved.                |
| Participation+<br>involvement | Where the initiators do not have all the information they need to design the change and where others have considerable power to resist. | People who participate will be committed to implementing change and any relevant information they have will be integrated into the change plan. | Can be very time consuming if participators design an appropriate change. |
| Facilitation+ Support         | Where people are resisting because of adjustment problems.                                                                              | No other approach works as well with adjustment problems.                                                                                       | Can be time consuming, expensive, and still fail.                         |

| Approach                   | Commonly used situations                                                                                             | Advantages                                                                    | Drawbacks                                                                           |
|----------------------------|----------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| Negotiation+ Agreement     | Where someone or some group will clearly lose out in a change and where that group has considerable power to resist. | Sometimes it is a relatively easy way to avoid major resistance.              | Can be too expensive in many cases if it alerts others to negotiate for compliance. |
| Manipulation+ co-optation  | Where other tactics will not work are too expensive.                                                                 | It can be a relatively quick and inexpensive solution to resistance problems. | Can lead to future problems if people feel manipulated.                             |
| Explicit+implicit coercion | Where speed is essential and the change initiators possess considerable power.                                       | It is speedy and can overcome any kind of resistance.                         | Can be risky if it leaves people angry at the initiators.                           |

(Source: "Choosing Strategies for Change" by Kotler and Schlesinger, March-April 1979, Harvard Business Review).

### Overcoming resistance and implementing change:

Kotter and Schelsinger (1979) has identified six general strategies for overcoming resistance to change.

➤ Education and Communication: Resistance can be reduced through communicating with employees to help them see the logic of a change. This tactic basically assumes that the source of resistance lies in misinformation or poor communication. If employees receive the full

facts and get any misunderstanding cleared up, resistance will subside. Communication can be achieved through one-to-one discussions, memos, group presentations, or reports. Does it work? It does, provided the source of resistance is inadequate communication and that management-employee relations are characterized by mutual trust and credibility. If these conditions don't exist, the change is unlikely to succeed.

➤ **Participation and Involvement:** It is difficult for individuals to resist a change decision in which they would have participated. Prior to making a change, those opposed can be brought into the decision process. People can be encouraged to help design and implement the change in order to draw out their ideas and to foster commitment. Participation increases understanding, enhance feelings of control, reduces uncertainty and promotes a feeling of ownership when change directly affects people.

➤ **Facilitation and Support:** If employees are provided with encouragement, support, training, counseling and resources adapt to

new requirements easily. By accepting people's anxiety as legitimate and helping them cope with change, managers have a better chance of gaining respect and the commitment to make it work.

➤ Negotiation and Agreement: Management can bargain to offer incentives in return for agreement to change. This tactic is often necessary while dealing with powerful resistance, like bargaining units. Sometimes specific things can be exchanged in return for help in bringing about a change. Other times, general perks can be widely distributed and facilitate to implement the change.

➤ Manipulation and Cooptation: Manipulation is framing and selectively using information and implied incentives to maximise the likelihood of acceptance. An example would be if the management tells employees that accepting a pay cut is necessary to avoid a plant shut down, when plant closure would not really have to occur. Cooptation is influencing resistant parties to endorse the change effort by providing them with benefits they desire and non-influential role in the process.

➤ Explicit and Implicit Coercion: Sometimes management might use authority and the threat of negative incentives to force acceptance of the proposed change. Management might decide that if employees do not accept proposed changes, then it has to shut the plant down, decrease salaries or layoff people. Examples of coercion can be also transfer, loss of promotion, negative performance evaluations and poor letter of recommendation. The advantages and drawbacks of coercion are approximately the same as that of manipulation and cooptation.

| <i>Methods for Dealing with Resistance to Change</i> |                                                                                                                                          |                                                                                                                                                  |                                                                                     |
|------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| <b>Approach</b>                                      | <b>Commonly used</b>                                                                                                                     | <b>Advantages</b>                                                                                                                                | <b>Disadvantage</b>                                                                 |
| <b>Education and Communication</b>                   | When there is lack of information or inaccurate information and analyses.                                                                | Once persuaded, people will often help with the implementation of the change.                                                                    | Can be time consuming if lots of people are involved.                               |
| <b>Participation and involvement</b>                 | Where the initiators do not have all the information they need to design the change, and where others have considerable power to resist. | People who participate will be committed to implementing change, and may relevant information they have will be integrated into the change plan. | Can be time consuming if participants design in inappropriate change.               |
| <b>Facilitation and Support</b>                      | When people are resisting because of adjustment problems.                                                                                | No other approach works as well with adjustment problems.                                                                                        | Can be time consuming, expensive and still fail.                                    |
| <b>Negotiation and Agreement</b>                     | When someone or some group will clearly lose out in a change and when that group has considerable power to resist.                       | Sometimes it's a relatively easy way to avoid major resistance.                                                                                  | Can be too expensive in many cases if it alerts others of negotiate for competence. |
| <b>Manipulation and Co-optation</b>                  | Where other tactics will not work or are too expensive.                                                                                  | It can be a relatively quick and inexpensive solution to resistance problems.                                                                    | Can lead to future problems if people feel manipulated.                             |

|                                       |                                                                                  |                                                       |                                                        |
|---------------------------------------|----------------------------------------------------------------------------------|-------------------------------------------------------|--------------------------------------------------------|
| <b>Explicit and implicit coercion</b> | Where speed is essential, and the changes initiators possess considerable power. | It is speedy and can overcome any kind of resistance. | Can be risky if it leaves people mad at the initiator. |
|---------------------------------------|----------------------------------------------------------------------------------|-------------------------------------------------------|--------------------------------------------------------|